

YASIR IQBAL

profiling of entities availing those services, including loans, and feared that there was a danger of fraud and money-laundering. When Paytm reportedly failed to address the central bank's concerns on January 31, it asked PPB to cease new credit and deposit operations, top-ups, fund transfers and all other banking operations by February 29 (later extended to March 15). Customers will be allowed to withdraw only the balance from their PPB accounts, but will not be able to carry out any of its basic banking operations. The closure of the business would mean an average hit of Rs 300-500 crore on One97 Communications' ebitda, or earnings before interest, tax, depreciation and amortisation—a measure of the company's core profitability—when its losses have already mounted to Rs 1,856 crore in FY23. What is incalculable is the long-term damage to Sharma and his reputation, though he says that, despite the setbacks, he will work hard to make "Paytm an Asia leader". Elsewhere, the same downturn in fortunes and fame were being visiting upon Raveendran, though for a different reason.

BYJU'S BLIND SIDE

No one knows why T&L did not have a CFO for 16 months between 2021 and 2023, including the time when the company's audited financial statements for 2021-22 were delayed for over a year. Total financial liabilities had increased to Rs 17,678 crore in 2021-22, according to media reports. Raveendran's reclusiveness may have made matters worse. "Raveendran is brilliant and can conceptualise and lead a team. He's a very intense guy," says a person who has seen him build the company. "But he's not very open and transparent in his dealings with people."

Trouble at T&L began from June 2023 onwards after three investors—Prosus, Peak XV Partners and Chan Zuckerberg Initiative—resigned from its board. In a statement on July 25, 2023, Prosus said that 'BYJU'S grew considerably since our first investment in 2018, but, over time, its reporting and governance structures did not evolve sufficiently for a company of that scale. Despite repeated efforts from our Director, executive leadership at BYJU'S regularly disregarded advice and recommendations relating to strategic, operational, legal, and corporate governance matters. The decision for our Director to step down from the BYJU'S Board was taken after it became clear that he was unable to fulfil his fiduciary duty to serve the long-term interests of the Company and its stakeholders'.

However, Shriram Subramanian, managing director of InGovern Research Services, a corporate governance advisory firm, holds investors equally responsible for the turn of events. "BYJU'S was always chasing valuations, with the founders and investors fully in the know," he says. "Investors were sleeping when the company did not have a CFO or processes and systems in place to publish timely financials." The charge that company financials were not available to investors has been a recurrent one, he adds. "As long as the valuation bubble was there, investors were happy to go along," says Subramanian, who reckons this stemmed from FOMO, or the fear of missing out. Meanwhile, complaints mounted against BYJU'S mis-selling of products over which the National Commission for Protection of Child Rights (NCPCR) had raised concerns. Following this, T&L claimed it had brought in clearer communication processes and other safeguards.

When the three investors quit the board, the company brought in IT veteran T.V. Mohandas Pai and former SBI chairman Rajnish Kumar as advisors to the board, which comprised Raveendran, his wife Divya Gokulnath and brother Riju Raveendran. A person privy to these developments says multiple meetings were held with investors and several corporate governance practices were initiated while the audit for FY22 was closed—the financial statements were filed in November 2023. It also appointed a new CEO, Arjun Mohan, for the India business and tried to address the cash burn. From a peak of over 55,000 employees in 2022, its head count had come down to around 15,000. "They have cut the burn tremendously," according to this person. "But it needs an infusion of cash, immediate cash."

Matters came to a head in February, when a clutch of investors called an extraordinary general meeting (EGM) to remove the founder from control of the company. However, the founders were